# Research Proposal: Effective Minimum Wage & State Labor Force Participation Rates (1990-2025)

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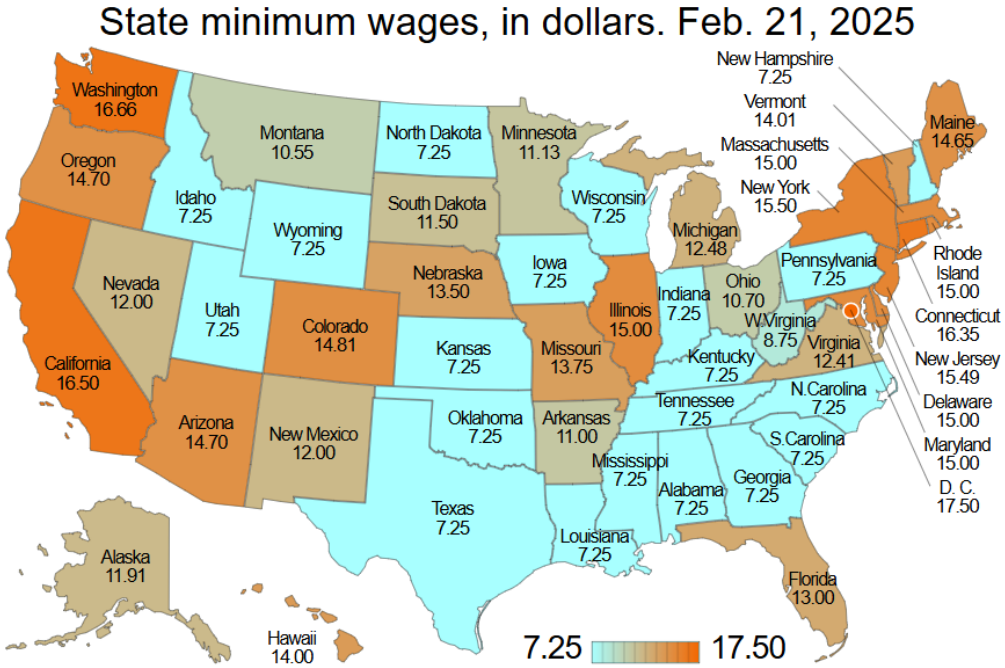
# Research Statement

- This project will examine the relationship between the federal and state minimum wages and the labor force participation rates
- Looks into all states in the US from 1990 until present (monthly basis)
- Theories:
  - Wage increase → incentive for people to stay in or seek job → LFPR increase
  - Wage increase → higher labor costs, less hirings → LFPR decreases



# Literature Review

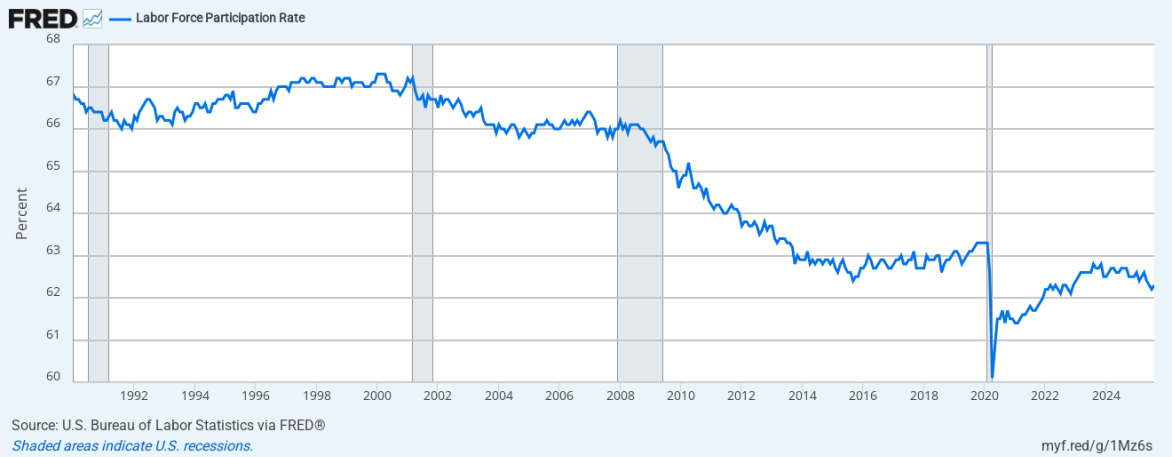
- Some economists argue that raising the minimum wage costs jobs because businesses cannot afford higher labor costs. Others argue that modest wage increases have little effect on employment.
- No job losses after minimum wage increases fast-food restaurants in New Jersey and Pennsylvania (Card and Krueger, 2000)
- Similar methods comparing counties along state borders and reached the same conclusion (Dube, Lester, and Reich, 2010)
- However, another study found negative employment effects, particularly for teenagers and less-educated workers (Neumark, Salas, and Wascher, 2014)

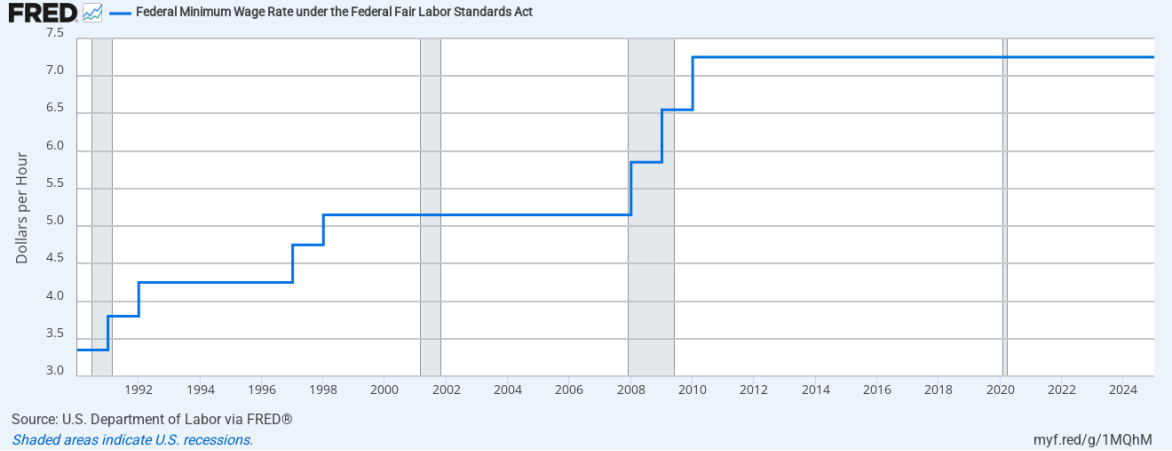
# Methodology

- Data primarily collected through API provided by FRED, BLS and BEA
- Use R to process data and make analyses
  - `fredr`, `blsAPI`, `bea.R`, `tidycensus` for API access
  - `dplr`, `tidyr`, `tidyverse`, `readr` for data processing
  - `ggplot2` for data visualization
  - `tigris`, `sf` for mapping the states

# Methodology

- Independent variable: effective minimum wage
- Dependent variable: state labor participation rates
- May need to include control variables like unemployment rate and educational attainment because minimum wages alone do not influence LFPR



# Expected Contributions

- Most prior studies focus on unemployment effects rather than labor participation rate
- This project would provide a new perspective into the minimum wage debate

# What to Do Next

- Do some more literature review
- Gather all the necessary data
- Adapt from the codes demonstrated in class and apply
  - Do regressions and make graphs
  - Create a map showcasing all the outcomes for each state in the US
- Start writing the paper

# References


- Card, David, and Alan B. Krueger. 2000. "Minimum Wages and Employment: A Case Study of the Fast-Food Industry in New Jersey and Pennsylvania: Reply." American Economic Review 90(5): 1397–1420.
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